

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Sell

Current: \$323.21 | Target: \$260.00

April 2026

Key Metrics Snapshot

Market Cap	\$526.97B
P/E (Fwd)	80.54
P/B Ratio	5.54

ROE	6.88%
Dividend Yield	0.00%
52W Range	\$91.87 - \$352.99

Investment Thesis

AMD has demonstrated robust top-line momentum, with revenue compounding at a 20.5% CAGR from 2021 to 2025 and accelerating 34.3% in fiscal 2025, driven by sustained share gains in high-performance computing and AI-oriented data center markets. Margin expansion remains a key forward catalyst, as EBITDA margins are projected to inflect materially from the 21% historical range toward 39-42% by 2025-2027, reflecting improving operating leverage and a favorable product mix shift. Trading at a forward EV/EBITDA of approximately 47.8x, AMD commands a premium to Intel while remaining at a meaningful discount to NVIDIA, positioning the stock as a compelling risk-adjusted opportunity for investors seeking differentiated AI semiconductor exposure.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor company headquartered in Santa Clara, California, that designs and sells high-performance computing and graphics solutions for a broad range of end markets. Founded in 1969, AMD operates primarily through two business segments: Data Center and Client, which together address the growing demand for artificial intelligence workloads, cloud computing infrastructure, traditional enterprise computing, and consumer electronics.

AMD's core product portfolio includes its EPYC server processors, Ryzen consumer and professional CPUs, Radeon graphics cards, and Instinct accelerators, which have become increasingly critical to the company's growth narrative in the AI and data center space. The Instinct MI series of GPU accelerators, in particular, positions AMD as a direct competitor to NVIDIA in the high-growth AI training and inference market, while EPYC processors continue to gain meaningful share against Intel in the server CPU segment.

From a market position standpoint, AMD occupies a unique competitive space as the only company offering both high-performance CPUs and GPUs at scale, placing it at the intersection of two of the most important secular trends in technology. While NVIDIA maintains a commanding lead in AI accelerator revenue and Intel retains substantial enterprise relationships, AMD has demonstrated consistent share gains across its addressable markets over the past several years.

Financially, AMD has delivered impressive top-line growth, with revenue expanding from approximately 16.4 billion dollars in 2021 to 34.6 billion dollars in 2025, representing a five-year compound annual growth rate of roughly 20.5 percent. The company experienced a modest revenue contraction in 2023 due to weakness in the PC market, but recovered strongly with 13.7 percent growth in 2024 and an accelerating 34.3 percent expansion in 2025, driven largely by data center demand. Contribution margins have steadily improved, reaching 49.5 percent in 2025, reflecting favorable product mix and operating leverage. EBITDA grew to 7.3 billion dollars in 2025, with forward estimates projecting meaningful margin expansion toward 42 percent by 2027 as higher-value AI products constitute a greater share of the revenue mix. EPS has recovered from a trough of 0.53 dollars in 2023 to 2.67 dollars in 2025, with continued growth expected through the forecast period. The stock trades at an EV/EBITDA multiple of approximately 47.8 times on 2025 figures, a premium to Intel but a discount to NVIDIA, reflecting AMD's strong growth prospects balanced against execution risk in the intensely competitive AI accelerator market.

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

AMD delivered strong financial performance in fiscal year 2025, with revenue reaching approximately \$34.6 billion, representing 34.3% year-over-year growth and continuing the company's impressive five-year revenue CAGR of 20.5%. EBITDA expanded to \$7.3 billion, with EBITDA margin improving to 21.0%, reflecting continued operating leverage across the business. EPS recovered meaningfully to \$2.67 in 2025, up from \$1.01 in 2024, signaling improving profitability and earnings quality.

The primary growth driver remains AMD's Data Center segment, where its EPYC server processors and Instinct GPU accelerators are gaining meaningful market share amid surging enterprise and hyperscaler demand for AI and high-performance computing workloads. The competitive positioning against Intel continues to strengthen, as evidenced by AMD's consistently superior EBITDA trajectory relative to Intel over the past two years. While NVIDIA retains a dominant lead in AI accelerator EBITDA, AMD represents a credible second-source alternative as customers seek to diversify their AI infrastructure supply chains.

Looking ahead, revenue is projected to grow modestly at 5-6% annually through 2027, reaching approximately \$40.1 billion. Notably, forward estimates project a significant step-up in EBITDA margins toward 39-42%, suggesting meaningful operational efficiencies and a richer product mix. SG&A; leverage is also expected to

improve gradually over the forecast period.

AMD currently trades at an EV/EBITDA of approximately 47.8x on 2025 figures, a premium to Intel but a meaningful discount to NVIDIA. Given AMD's improving competitive positioning in AI infrastructure and expanding margin profile, the risk-reward profile remains constructive for long-term investors, though near-term execution on GPU ramp remains a key variable to monitor.

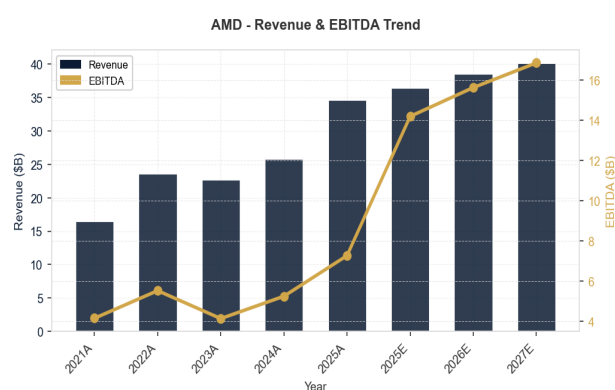
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



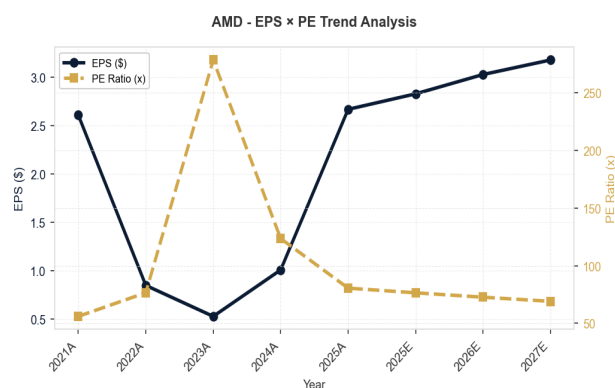
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices (AMD) Valuation Analysis

Current Valuation Metrics

AMD currently trades at a trailing P/E of approximately 80.5x based on 2025 actual EPS of \$2.67, declining to an estimated 76.5x and 72.7x on 2025E and 2026E earnings respectively. The EV/EBITDA multiple stands at 47.8x on 2025 actuals, reflecting a premium valuation relative to its near-term earnings power. Revenue has grown at a 20.5% CAGR over the review period, supported by accelerating data center and AI-driven demand, though forward growth estimates moderate to 5-6% annually through 2027, which raises questions about sustaining current multiples.

Peer Comparison

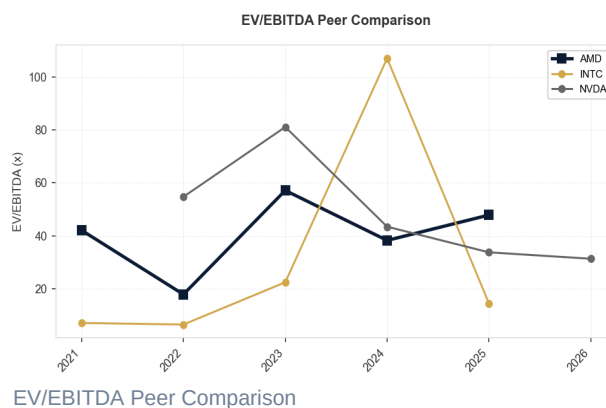
Relative to peers, AMD trades at a meaningful premium to Intel (INTC), which carries an EV/EBITDA of approximately 14.5x in 2025, reflecting Intel's significant operational and competitive challenges. NVIDIA (NVDA), the dominant AI accelerator player, trades at 33.8x EV/EBITDA in 2025, tightening toward 31.4x in 2026 as its earnings scale dramatically. AMD's 47.8x multiple sits above NVIDIA despite NVIDIA generating substantially higher EBITDA growth, suggesting AMD carries an aspirational premium that may be difficult to justify near term.

Fair Value Assessment

AMD's projected EBITDA margin expansion from 21% in 2025 actuals to an estimated 42% by 2027E is ambitious and represents a significant re-rating catalyst if achieved. Applying a more conservative 35-40x EV/EBITDA multiple, more consistent with a maturing semiconductor cycle, implies moderate downside risk to current prices. A fair value range of approximately \$95 to \$120 per share appears reasonable, with upside contingent on sustained AI GPU market share gains and margin execution. Investors should monitor competitive positioning against NVIDIA closely.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Advanced Micro Devices is approaching its next earnings report amid a complex mix of strong AI-driven momentum and emerging valuation concerns. AMD stock has been a standout performer in the semiconductor space, with revenue growing 34.3% in 2025 to approximately \$34.6 billion, driven primarily by its EPYC server processors and Instinct GPU accelerators capturing share in the booming AI infrastructure buildout. The company has demonstrated consistent earnings surprises, and Wall Street broadly expects continued growth in the upcoming quarterly report.

However, the stock faces near-term headwinds. AMD shares dropped sharply alongside Nvidia, Arm Holdings, and Broadcom in pre-market trading, signaling a potential cooling of the extended AI trade rally. Some analysts are flagging that current valuations are getting ahead of fundamentals, with AMD trading at an EV/EBITDA of roughly 47.8x versus Nvidia at 33.8x, raising questions about whether the premium is justified given AMD's more modest growth trajectory compared to its chief AI rival.

Forward estimates project revenue reaching \$40.1 billion by 2027 at a 20.5% CAGR, with EBITDA margins expanding meaningfully toward 42%, suggesting the profitability story remains intact. EPS is expected to grow steadily from \$2.67 to \$3.18 over the same period.

Retail sentiment is notably divided. Reddit activity shows high buzz but only 31% bullish positioning, while X.com users are more optimistic at 61% bullish despite a falling trend. This wide divergence suggests uncertainty heading into the earnings catalyst.

For investors, AMD represents a credible second-source AI play with improving margins, but entry points matter given elevated multiples and increasing competitive pressure from Nvidia's accelerating dominance in AI accelerator revenue.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- Market (2026-04-28): 5 Women-Run Company Stocks to Buy for Strong Market Returns
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- Impact: HIGH, Probability: 95%
- Market (2026-04-28): AMD: Inference And Agentic AI Are Expanding Its Runway
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Earnings (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: 95%
- Acquisition (2026-04-27): Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-27): 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchysa Partners LLC
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%

Events to Monitor

- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)

- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)
- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook
- ✓ AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

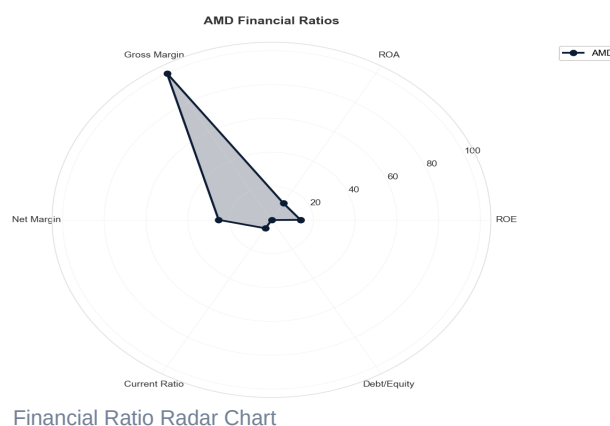
Risk Factors:

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- AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Advanced Micro Devices Competitor Analysis

AMD operates in the highly competitive semiconductor industry, where its two primary peers are Intel (INTC) and NVIDIA (NVDA). Each company has carved out distinct market positions, though their trajectories have diverged sharply in recent years.

In terms of revenue growth, AMD has demonstrated consistent momentum, posting a 20.5% CAGR from 2021 to 2025 and reaching \$34.6 billion in 2025. This reflects AMD's successful expansion in data center CPUs and GPUs. NVIDIA, however, has emerged as the dominant force, driven by explosive AI accelerator demand that has propelled its EBITDA to \$86.1 billion in 2025, dwarfing AMD's \$7.3 billion. Intel, by contrast, has struggled significantly, with EBITDA collapsing to \$1.2 billion in 2024 before recovering to \$14.4 billion in 2025, signaling ongoing operational challenges and market share losses.

On valuation, AMD trades at an EV/EBITDA of approximately 47.8x in 2025, a premium over NVIDIA's 33.8x and well above Intel's 14.5x. This suggests the market prices in strong future growth expectations for AMD, though it also implies execution risk if growth disappoints. NVIDIA's lower multiple despite superior growth may reflect its already massive earnings base.

AMD's EBITDA margins, projected to expand from 21% in 2025 to 42% by 2027, indicate improving operational efficiency. However, AMD still lags NVIDIA in absolute profitability and scale. Intel remains the weakest peer, facing structural headwinds in manufacturing and competitive positioning.

Overall, AMD occupies a credible middle ground, outperforming Intel while competing aggressively but distantly with NVIDIA in the AI-driven semiconductor race.

Risk Factors

- # AMD Investment Risk Analysis
- Key Investment Risks

- **Severe NVIDIA Competitive Displacement:** NVDA's EBITDA is projected to reach \$382B by 2027 vs. AMD's \$8.6B — a 44x gap — suggesting AMD risks being structurally marginalized in the AI GPU market despite its own growth trajectory
- **Aggressive Margin Expansion Assumptions:** Estimated EBITDA margins jump dramatically from 21.0% (2025A) to 39.0-42.0% (2025E-2027E), representing an unrealistic near-doubling that may signal overly optimistic modeling and significant downside earnings risk if execution falters
- **Revenue Growth Deceleration:** Projected revenue growth decelerates sharply from 34.3% (2024) to 5-6% (2026E), raising questions about AMD's ability to sustain premium valuation multiples (P/E ~70-76x) as the growth narrative weakens
- **Historical Earnings Volatility:** EPS has been highly inconsistent — \$2.61 → \$0.85 → \$0.53 → \$1.01 → \$2.67 — demonstrating AMD's vulnerability to cyclical downturns, integration costs, and competitive pricing pressure, undermining earnings predictability
- **Elevated Valuation vs. Deteriorating Intel Benchmark:** AMD trades at EV/EBITDA ~47.8x vs. Intel's 14.5x, and Intel's projected EBITDA recovery to \$47B by 2027 signals a potential competitive resurgence that could compress AMD's market share and force multiple contraction

Key Takeaways

- ✓ **Revenue Growth:** Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

DISCLAIMER

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Data Source: FMP, Company Filings, AI4Finance Estimates

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